

Macro Regime & Market Risk Monitor

RESEARCH NOTE | 2026Q2 ANALYSIS | PREPARED 3 OCTOBER 2026

1. Current regimes and pricing assessment

The US is classified as **Stagflation** and the Eurozone as **Overheating**, yet both record **zero market-stress points** under the monitor's defined stress framework. Equities and credit/sovereign spreads are more resilient than the earlier matching-regime comparisons. Expected real 2Y rate proxies are higher than those medians, indicating greater monetary restraint within this comparison.

Assessment: partially priced. The rates evidence aligns more closely with inflation/policy pressure than the resilient risk-asset evidence aligns with historical stress. This describes mixed conditions; it is not a fair-value estimate or a forecast of an inevitable correction.

Macro input	US	Eurozone
Quarterly GDP growth	0.373%	0.600%
Quarterly mean annual inflation	3.803%	3.000%
Macro regime	Stagflation	Overheating

Market evidence	US current	US median	EZ current	EZ median
Equity price return	14.9%	-9.6%	13.6%	-9.4%
Credit / sovereign spread	Omitted	Omitted	0.77 pp	1.57 pp
10Y-2Y curve	0.30 pp	0.05 pp	0.45 pp	0.70 pp
Expected real 2Y rate	1.28%	0.08%	0.56%	-1.47%
10Y yield QoQ change	0.14 pp	0.49 pp	-0.15 pp	0.81 pp
Market-stress count	0	1.5	0	2

US equity = S&P 500; Eurozone equity = EURO STOXX 50. US spread = Baa minus 10Y Treasury; Eurozone spread = Italy minus Germany 10Y. Spreads and changes are percentage points (pp). Values are rounded; the US stress-count median is 1.5. Baa credit-spread levels omitted from the public exhibit because of third-party data-use restrictions. The credit channel remains included in the model.

Benchmark size: four prior US Stagflation quarters and three prior Eurozone Overheating quarters, excluding 2026Q2. The Eurozone observations are concentrated in 2021Q4-2022Q2. These small samples support descriptive contrasts, not statistical estimates of normal returns.

2. How the monitor reaches its assessment

Python aligns macro and market observations, classifies regimes and calculates indicators. DuckDB loads three typed source tables, builds seven analytical views and runs 33 validation checks before exporting five dashboard CSVs. Power BI presents five complementary report pages.

Macro classification

Strong growth requires quarterly GDP growth above 0.5%; high inflation requires the quarterly mean of annual inflation to be at least 3%. US annualized GDP growth is converted to quarter-on-quarter growth. Each region is classified independently.

Growth / inflation	Inflation below 3%	Inflation at least 3%
Growth above 0.5% q/q	Goldilocks	Overheating
Growth at most 0.5% q/q	Deflationary Slowdown	Stagflation

Market stress and monetary conditions

US stress points: negative S&P 500 return; Baa spread widening strictly above 0.05 pp; negative US 10Y-2Y curve.

Eurozone stress points: negative EURO STOXX 50 return; negative Eurozone curve; widening Italy-Germany spread.

Each count can range from 0 to 3. Multi-channel stress requires at least two points in either region.

Expected real rates contribute no stress points. They are separate monetary-condition proxies: quarter-end 2Y yield minus the retained inflation-expectation measure. Greater values relative to history do not establish a gap from an estimated neutral real rate.

Historical comparisons

For each region, SQL selects earlier quarters with its current regime in the common 70-quarter cross-asset sample and excludes the current quarter. It compares six metrics with medians and also reports means and signal frequencies. Historical medians are neither estimated fair values nor predictions. A median of integer stress counts can be fractional.

Data quality and vintage discipline

Annual CPI inflation compares the same calendar month one year earlier with no filling. Quarterly yield and spread changes are calculated on the complete market calendar before missing macro quarters are removed. October 2025 CPI remains missing, so 2025Q4 has no quarterly US regime. The approved sample contains 21 Multi-Channel Stress and 49 No Multi-Channel Stress quarters.

The US 2026Q2 classification retains the original 1.5% annualized GDP estimate, approximately 0.373% quarterly growth. BEA-related inputs use the approved ALFRED 2026-09-29 vintage. Other inputs retain the approved observation windows; the manifest distinguishes retrieval dates, vintage dates and observation periods. Later revisions are outside this saved analysis.

The report is descriptive and contemporaneous. Published macro data are delayed and revised; the project does not demonstrate a point-in-time trading strategy or establish what investors believe.

3. Repricing framework and what to watch

Macro normalization: inflation and policy pressure ease while risk assets remain resilient.

Market repricing: persistent pressure begins appearing in weaker equities and wider credit/sovereign spreads. Both are possible developments; neither is assumed inevitable.

The authored watchlist below describes qualitative scenarios, rather than automatically evaluated alerts. The complete CSV includes the interpretations and regime tags.

Region / variable	Pressure persists	Pressure eases
Eurozone: Equity repricing	EURO STOXX 50 weakens materially	Equities remain resilient
Eurozone: Front-end rates	Eurozone 2Y yield rises further	Eurozone 2Y yield declines
Eurozone: Inflation persistence	HICP remains elevated	HICP falls toward target
Eurozone: Long-rate pressure	Eurozone 10Y yield resumes rising	Long yields remain stable or decline
Eurozone: Sovereign fragmentation	Italy-Germany spread widens materially	Spread remains contained
US: Credit repricing	Baa-10Y spread begins widening	Spread remains tight or narrows
US: Curve evolution	10Y-2Y curve flattens materially or inverts	Curve steepens alongside easing inflation
US: Equity repricing	S&P 500 momentum weakens / returns turn negative	Equities remain resilient
US: Inflation persistence	CPI / inflation expectations remain elevated	Inflation declines materially

Practical limits. The matching samples are small and episode-concentrated. Price returns exclude dividends. Real-rate expectations differ by regional source; Eurozone geographic aggregates are not identical across all inputs. No significance tests, causal model, neutral-rate estimate or predictive backtest are added.

Next phase. Automate source acquisition, dated snapshots, notebook execution, SQL validation and coherent dashboard exports. Review changed regime tags against the authored watchlist. Scheduling and automatic trigger evaluation remain future capabilities.

Sources: approved project exports and source manifest; BEA/BLS and Federal Reserve/Cleveland Fed through FRED/ALFRED; ECB/ESCB; Eurostat; Moody's Baa spread through FRED; Yahoo Finance unadjusted index/FX closes. ICE IG/HY series are exploratory appendices. Full licensed source datasets and the embedded-data report remain in the local package. Source attribution and data-use notes: [data/README.md](#).